

5-2g Evaluating Theories of International Trade

In case you are tired after studying the six theories, you have to appreciate that we have just gone through over 300 years of research, debates, and policy changes around the world in about ten pages (!). As a student, that is not a small accomplishment. [Table 5.4](#) enables you to see the “forest.” As you review these theories, keep the following four points in mind.

Table 5.4

Theories of International Trade: A Summary

Classical theories	Main points	Strengths and influences	Weaknesses and debates
Mercantilism (Colbert, 1600s–1700s)	• International trade is a zero-sum game—trade deficit is dangerous. • Governments should protect domestic industries and promote exports.	• Forerunner of modern-day protectionism.	• Inefficient allocation of resources. • Reduces the wealth of the nation in the long run.
Absolute advantage (Smith, 1776)	• Nations should specialize in economic activities in which they have an absolute advantage and trade with others. • By specializing and trading, each nation produces more and consumes more.	• Birth of modern economics. • Forerunner of the free trade movement. • Defeats mercantilism, at least intellectually.	• When one nation is absolutely inferior than another, the theory is unable to provide any advice. • When there are many nations, it may be difficult to find an

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	The wealth of all trading nations, and the world, increases.		absolute advantage.
Comparative advantage (Ricardo, 1817; Heckscher, 1919; Ohlin, 1933)	- Nations should specialize in economic activities in which they have a comparative advantage and trade with others. - Even if one nation is absolutely inferior to another, the two nations can still gainfully trade. - Factor endowments underpin comparative advantage.	- More realistic guidance to nations (and their firms) interested in trade but having no absolute advantage. - Explains patterns of trade based on factor endowments.	Relatively static, assuming that comparative advantage and factor endowments do not change over time.
Modern theories			
Product life cycle (Vernon, 1966)	- Comparative advantage first resides in the lead innovation nation, which exports to other nations. - Production migrates to other advanced nations and then developing nations in different product life cycle stages.	- First theory to incorporate dynamic changes in patterns of trade. - More realistic with trade in industrial products in the 20th century.	- The United States may not always be the lead innovation nation. - Many new products are now launched simultaneously around the world.

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Strategic trade (Brander, Spencer, Krugman, 1980s)	• Strategic intervention by governments may help domestic firms reap first-mover advantages in certain industries. • First-mover firms, aided by governments, may have better odds at winning internationally.	• More realistic and positively incorporates the role of governments in trade. • Provides direct policy advice.	• Ideological resistance from many “free trade” scholars and policy makers. • Invites all kinds of industries to claim they are strategic.
National competitive advantage of industries (Porter, 1990)	• Competitive advantage of different industries in different nations depends on the four interacting aspects of a “diamond.” • The “diamond” consists of (1) factor endowments, (2) domestic demand, (3) firm strategy, structure, and rivalry, and (4) related and supporting industries.	• Most recent, most complex, and most realistic among various theories. • As a multilevel theory, it directly connects firms, industries, and nations.	• Has not been comprehensively tested. • Overseas (not only domestic) demand may stimulate the competitiveness of certain industries.

First, the classical pro-free trade theories seem common sense today. However, we need to appreciate that they were *revolutionary* 200 years ago, when the world was dominated by mercantilistic thinking. Second, all theories simplify to make their point. Classical theories rely on highly simplistic assumptions of a model consisting of only two nations and two goods. Third, the theories also assume perfect

resource mobility (Assumption that a resource used in producing a product for one industry can be shifted and put to use in another industry.)

—the assumption that one resource removed from wheat production can be moved to make aircraft. In reality, farm hands will have a hard time assembling modern aircraft. Finally, classical theories assume no foreign exchange complications and zero transportation costs.

So, in the real world of many countries, numerous goods, imperfect resource mobility, fluctuating exchange rates, high transportation costs, and product life cycle changes, is free trade still beneficial as Smith and Ricardo suggested? The answer is still “Yes!” as worldwide data support the *basic* arguments of free traders such as Smith and Ricardo. (See “[Debates and Extensions](#)” for disagreements.)

Instead of relying on simple factor analysis, modern theories rely on more-realistic product life cycles, first-mover advantages, and the “diamond” to explain and predict patterns of trade. Overall, classical and modern theories have significantly contributed to today’s ever-deepening trade links. Yet, the victory of classic and modern pro-free trade theories is not complete. The political realities governing international trade, outlined next, indicate that mercantilism is alive and well.